OFFERING MEMORANDUM

Alder Office Park | Madison, WI

Property	Alder Office Park
Location	1218 Railroad Boulevard, Madison, WI 47169
Property Type	Office
Size	57,000 SF
Year Built	1986
Offering	Unpriced - Offers Due June 11, 2019

Business Plan Progress

The building features a renovated lobby, structured parking at a ratio of 30 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Floor plates are efficient and column-spacing supports open and private-office layouts.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Market Overview

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.4% annually over the past 10 years. Market vacancy for comparable Office product stands at 11.8%, down from 4.3% two years ago. The building features a renovated lobby, structured parking at a ratio of 43 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Alder Office Park is located in Madison, WI, a market that has recorded 11.7% population growth over the last five years.

Median household income within a 9-mile radius of the property is approximately $384,000 and has grown 8.5% annually. Floor plates are efficient and column-spacing supports open and private-office layouts. Rent growth in the submarket has averaged 5.9% annually over the past 4 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Madison Office market has experienced absorption of 1600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Alder Office Park is located in Madison, WI, a market that has recorded 13.8% population growth over the last five years.

Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 2.3% with an equity multiple of 1.21x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital. The building features a renovated lobby, structured parking at a ratio of 32 per 1,000 square feet, and a tenant lounge with fitness center.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Demographics and Employment

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Risk Considerations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Floor plates are efficient and column-spacing supports open and private-office layouts. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 12.4% with an equity multiple of 1.40x over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 15 per 1,000 square feet, and a tenant lounge with fitness center. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Supply and Demand

Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. The Madison Office market has experienced absorption of 1600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 4.5% annually over the past 6 years. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts.

Alder Office Park is located in Madison, WI, a market that has recorded 10.2% population growth over the last five years. Floor plates are efficient and column-spacing supports open and private-office layouts. Median household income within a 7-mile radius of the property is approximately $466,000 and has grown 2.9% annually. Weighted average lease term remaining is 6 years and in-place rents average $31 per square foot, full service gross. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 6.36% and 6.36%. The building features a renovated lobby, structured parking at a ratio of 4 per 1,000 square feet, and a tenant lounge with fitness center.

Business Plan Progress

The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Floor plates are efficient and column-spacing supports open and private-office layouts. Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. Projected levered IRR is 6.2% with an equity multiple of 1.28x over the hold period.

The building features a renovated lobby, structured parking at a ratio of 3 per 1,000 square feet, and a tenant lounge with fitness center. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 10.2% with an equity multiple of 1.40x over the hold period.

Submarket Analysis

Median household income within a 3-mile radius of the property is approximately $17,000 and has grown 2.9% annually. Alder Office Park is located in Madison, WI, a market that has recorded 12.4% population growth over the last five years. Rent growth in the submarket has averaged 4.7% annually over the past 8 years. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 5.36% and 5.36%.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.3% annually over the past 8 years. The building features a renovated lobby, structured parking at a ratio of 41 per 1,000 square feet, and a tenant lounge with fitness center. The Madison Office market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors.

Business Plan Progress

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Maple Corporate Center	Buffalo, NY	03/04/2026	11	$9,122,630	$160	6.75%	1994
Aspen Plaza	Memphis, TN	04/15/2022	10	$19,811,790	$348	5.68%	2012
Brookside Tower	Birmingham, AL	08/24/2024	11	$12,485,025	$219	5.71%	1971
Everett Office Park	Grand Rapids, MI	02/24/2025	14	$20,615,910	$362	7.17%	2009
Wexford Corporate Center	Charlotte, NC	08/12/2026	13	$13,341,458	$234	5.44%	1973
Orchard Corporate Center	Savannah, GA	01/23/2024	15	$17,185,574	$302	7.73%	1999
Quincy Office Park	Riverside, CA	12/09/2022	14	$16,760,317	$294	6.63%	1989
Cobalt Office Park	Raleigh, NC	02/17/2024	7	$18,654,387	$327	6.55%	2006
Pelican Corporate Center	Orlando, FL	04/04/2025	5	$7,541,754	$132	7.72%	2023
Hawthorne Office Park	Nashville, TN	11/01/2025	8	$11,446,858	$201	8.09%	1992
Alder Tower	San Antonio, TX	08/11/2023	11	$9,548,026	$168	5.05%	1979
Orchard Office Park	Chicago, IL	01/08/2023	15	$7,504,607	$132	7.65%	1991
Dunmore Corporate Center	St. Louis, MO	09/17/2023	7	$8,002,200	$140	7.88%	1979
Kingsley Office Center	Orlando, FL	01/19/2023	7	$17,873,056	$314	5.26%	2009
Valley Office Center	Boston, MA	03/04/2023	12	$19,570,004	$343	7.48%	1981
Garnet Office Center	Riverside, CA	05/14/2023	12	$16,339,877	$287	7.48%	1994
Nautilus Plaza	Atlanta, GA	07/10/2023	10	$15,117,658	$265	6.49%	1974
Raven Plaza	Oklahoma City, OK	01/24/2024	9	$16,888,253	$296	7.98%	2005
Harbor Office Center	Atlanta, GA	02/24/2022	9	$8,286,528	$145	6.67%	2015
Indigo Office Park	Austin, TX	03/13/2024	10	$10,040,603	$176	5.57%	2011
Prairie Corporate Center	Norfolk, VA	01/05/2026	8	$19,818,327	$348	6.87%	1967
Garnet Office Park	Greenville, SC	09/06/2022	11	$18,386,478	$323	5.79%	1976
Bluestone Corporate Center	Newark, NJ	07/13/2023	8	$20,207,434	$355	7.40%	2001
Quincy Office Park	Grand Rapids, MI	10/02/2022	6	$10,128,907	$178	7.35%	1984
Crestline Corporate Center	Albany, NY	11/13/2024	12	$7,335,740	$129	6.99%	1973
Oakmont Office Park	Savannah, GA	04/23/2024	5	$17,377,230	$305	5.22%	1987
Ironwood Corporate Center	Savannah, GA	03/28/2025	8	$12,999,708	$228	5.53%	2014
Stonebridge Corporate Cent	Raleigh, NC	08/30/2024	7	$16,677,083	$293	6.33%	2017
Indigo Office Park	Dallas, TX	02/10/2024	9	$6,726,107	$118	6.44%	1982
Brookside Plaza	Raleigh, NC	01/19/2025	7	$12,375,146	$217	5.80%	2015
Sterling Tower	Albuquerque, NM	12/10/2023	5	$10,111,845	$177	6.10%	1979
Oakmont Office Center	Sacramento, CA	12/29/2024	13	$10,172,015	$178	6.67%	1966
Zephyr Office Center	Albany, NY	12/10/2023	10	$16,711,197	$293	7.24%	1993
Brookside Office Park	Cleveland, OH	02/19/2022	13	$6,053,529	$106	7.81%	1966
Heritage Corporate Center	Boise, ID	03/01/2023	14	$14,068,243	$247	7.41%	1969
Verde Plaza	Richmond, VA	11/10/2024	8	$17,811,536	$312	7.08%	1981
Lantern Corporate Center	Denver, CO	09/05/2023	10	$14,581,263	$256	5.07%	1980
Ridgeline Office Center	Memphis, TN	02/27/2024	9	$19,718,489	$346	7.78%	1966
Meridian Tower	Columbus, OH	01/23/2022	7	$9,206,264	$162	5.26%	1998
Marlow Office Park	Greenville, SC	03/28/2024	14	$14,951,480	$262	5.18%	1968

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Building Systems

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 28 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 48-year membrane system with an estimated remaining useful life of 7 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. The going-in capitalization rate of 5.20% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $358,000 or approximately 6.26 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts.

The going-in capitalization rate of 7.79% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $354,000 or approximately 22.31 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

Building Systems

Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The roof is a 25-year membrane system with an estimated remaining useful life of 4 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 8 stories.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Floor plates are efficient and column-spacing supports open and private-office layouts. Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 32 stories. The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center.

Income and Expense Review

Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $222,000 or approximately 27.73 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center.

Weighted average lease term remaining is 11 years and in-place rents average $31 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 5.44% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Effective gross income for the trailing period was $176,000, representing a 13.1% increase over the prior year.

Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 13-year membrane system with an estimated remaining useful life of 7 years. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Driftwood Tower	4.7 mi	1997	Bay	$35.22	93.9%	None
Canyon Plaza	5.0 mi	2008	Unit	$34.98	94.5%	None
Granite Corporate Center	5.0 mi	1982	Bay	$30.86	92.7%	None
Bayview Corporate Center	1.5 mi	1996	Unit	$33.94	90.7%	$500
Kingsley Corporate Center	0.6 mi	2000	Unit	$34.22	92.1%	1 mo. free
Keystone Corporate Center	3.9 mi	2005	Inline	$27.39	90.7%	None
Timberline Corporate Center	4.1 mi	2013	Bay	$27.12	93.7%	None
Thornton Office Center	4.7 mi	1982	Studio	$31.19	94.4%	$500
Redwood Plaza	1.4 mi	1982	Suite	$36.49	95.2%	1 mo. free
Jasper Office Park	2.3 mi	2022	Inline	$28.93	90.0%	None
Everett Plaza	1.0 mi	2010	Suite	$36.97	87.4%	1 mo. free
Kestrel Office Park	0.8 mi	1970	Studio	$31.29	89.7%	None
Dunmore Office Park	0.4 mi	2006	Studio	$27.73	86.2%	$500
Palisade Tower	1.2 mi	2005	Inline	$29.91	89.5%	None
Vista Office Center	3.1 mi	1994	Bay	$28.42	91.7%	$500
Summit Corporate Center	3.4 mi	1981	1BR	$34.69	90.2%	None
Kestrel Plaza	2.9 mi	2017	2BR	$28.64	90.5%	$500
Tidewater Office Center	0.7 mi	1991	Suite	$35.87	96.5%	None
Yarrow Office Center	2.0 mi	1993	Bay	$27.00	94.4%	1 mo. free
Onyx Office Center	0.7 mi	1971	Unit	$32.44	90.9%	$500
Heritage Office Center	3.2 mi	1971	1BR	$33.31	89.8%	1 mo. free
Hollis Tower	4.8 mi	2009	1BR	$26.58	92.9%	$500
Willow Office Park	2.0 mi	1995	1BR	$35.81	86.4%	None
Lockwood Corporate Center	4.9 mi	1972	Inline	$28.73	94.2%	$500
Mesa Corporate Center	1.4 mi	2009	Inline	$29.82	89.6%	$500
Laurel Office Center	1.8 mi	2010	Studio	$30.90	86.4%	$500
Raven Office Park	2.1 mi	1998	Suite	$34.12	90.7%	None
Quincy Plaza	0.4 mi	2004	Suite	$27.96	93.7%	None
Eastlake Plaza	2.5 mi	1970	Studio	$34.37	88.7%	1 mo. free
Dunmore Corporate Center	1.5 mi	1971	Unit	$26.40	92.8%	None
Northgate Corporate Center	0.6 mi	1979	1BR	$36.17	91.3%	None
Saddlebrook Tower	1.2 mi	1971	Inline	$33.30	87.8%	$500
Zephyr Plaza	3.9 mi	1988	Unit	$26.65	91.5%	$500
Cobalt Office Center	3.7 mi	2023	Studio	$35.77	88.9%	None
Birchwood Tower	4.6 mi	1986	Suite	$27.40	91.7%	None
Bluestone Office Center	0.7 mi	1999	Inline	$36.32	93.4%	None
Thornton Corporate Center	1.8 mi	1999	Unit	$29.07	89.8%	1 mo. free
Verde Office Center	1.7 mi	1986	1BR	$29.79	95.6%	1 mo. free
Hawthorne Office Center	0.9 mi	1994	Inline	$30.87	97.2%	$500
Fairmont Tower	3.0 mi	2016	1BR	$26.94	97.2%	None
Cypress Corporate Center	2.5 mi	1997	Studio	$35.19	96.3%	None
Summit Plaza	3.1 mi	1977	Inline	$26.69	86.8%	1 mo. free

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Property Operations

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 34 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Market Overview

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 5.60% and 5.60%. Employment growth is led by healthcare, logistics, education and professional services sectors. Alder Office Park is located in Madison, WI, a market that has recorded 5.2% population growth over the last five years. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 3 per 1,000 square feet, and a tenant lounge with fitness center.

Weighted average lease term remaining is 3 years and in-place rents average $31 per square foot, full service gross. Rent growth in the submarket has averaged 3.9% annually over the past 8 years. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 7.33% and 7.33%. The Madison Office market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Leasing and Marketing

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Supply and Demand

Alder Office Park is located in Madison, WI, a market that has recorded 6.8% population growth over the last five years. Rent growth in the submarket has averaged 5.7% annually over the past 5 years. Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 5.67% and 5.67%. The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.7% annually over the past 10 years. Floor plates are efficient and column-spacing supports open and private-office layouts.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 13 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 88.1% of billed charges, with bad debt of 6.5% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 4.9% with an equity multiple of 1.29x over the hold period. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building features a renovated lobby, structured parking at a ratio of 41 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross.

Supply and Demand

Weighted average lease term remaining is 6 years and in-place rents average $31 per square foot, full service gross. The Madison Office market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 7.67% and 7.67%.

Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 6.63% and 6.63%. The building features a renovated lobby, structured parking at a ratio of 7 per 1,000 square feet, and a tenant lounge with fitness center. Rent growth in the submarket has averaged 5.1% annually over the past 7 years. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Investment Overview

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Projected levered IRR is 5.1% with an equity multiple of 1.16x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 9.4% with an equity multiple of 1.20x over the hold period.

Market Overview

Median household income within a 3-mile radius of the property is approximately $229,000 and has grown 3.3% annually. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. Rent growth in the submarket has averaged 5.6% annually over the past 5 years. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Employment growth is led by healthcare, logistics, education and professional services sectors. The Madison Office market has experienced absorption of 200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross.

Investment Overview

The building features a renovated lobby, structured parking at a ratio of 40 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
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Cobalt Office Center	Portland, OR	04/02/2025	9	$14,493,812	$254	7.79%	1968
Aspen Tower	Phoenix, AZ	12/20/2024	12	$7,773,963	$136	7.36%	2013
Pelican Plaza	Portland, OR	05/09/2026	7	$6,733,161	$118	7.17%	1990
Ridgeline Office Center	Salt Lake City, UT	01/31/2022	15	$19,765,879	$347	6.01%	2009
Elmhurst Tower	Austin, TX	06/04/2024	10	$15,973,226	$280	6.45%	2012
Birchwood Tower	Greenville, SC	08/23/2022	7	$8,577,979	$150	5.50%	2013
Beacon Office Park	Newark, NJ	04/13/2026	9	$12,782,087	$224	7.67%	1989
Ironwood Corporate Center	Philadelphia, PA	08/01/2026	8	$13,443,163	$236	8.08%	1975
Oakmont Office Park	Salt Lake City, UT	04/11/2025	15	$16,541,388	$290	5.68%	1985
Newport Plaza	Albuquerque, NM	04/08/2024	7	$7,085,682	$124	5.41%	1990
Gatewood Office Park	Seattle, WA	02/10/2023	15	$6,094,644	$107	5.30%	1996
Jasper Corporate Center	Grand Rapids, MI	03/31/2024	14	$8,359,958	$147	5.35%	2016
Lockwood Office Park	Dallas, TX	09/20/2025	12	$19,840,049	$348	7.09%	1979
Lakeshore Corporate Center	Aurora, CO	05/25/2022	10	$15,648,929	$275	7.67%	1970
Heritage Plaza	Philadelphia, PA	08/07/2023	9	$9,285,878	$163	6.98%	2002
Raven Corporate Center	Columbus, OH	02/02/2026	12	$9,052,868	$159	6.78%	1982
Heritage Office Park	Boston, MA	07/09/2023	12	$15,538,052	$273	8.04%	2007
Wexford Office Park	New Orleans, LA	08/07/2024	13	$15,972,340	$280	5.26%	1977
Fairmont Tower	Savannah, GA	04/16/2025	12	$14,672,562	$257	5.19%	1973
Lakeshore Plaza	Phoenix, AZ	03/30/2025	11	$11,699,804	$205	7.09%	1967
Saddlebrook Tower	Salt Lake City, UT	06/12/2024	6	$16,808,276	$295	7.36%	1976
Wexford Tower	Salt Lake City, UT	01/14/2023	5	$6,310,314	$111	6.92%	1992
Garnet Office Center	Cincinnati, OH	10/30/2023	13	$12,024,917	$211	6.13%	2009
Wexford Office Park	Las Vegas, NV	05/09/2024	10	$16,198,163	$284	6.00%	2001
Union Office Park	Columbus, OH	01/07/2026	7	$7,421,041	$130	7.35%	2016
Amberly Office Park	Albany, NY	08/03/2022	9	$9,589,844	$168	8.12%	1990
Fairmont Office Center	Memphis, TN	09/14/2023	10	$11,941,084	$209	5.48%	1990
Harbor Office Center	Salt Lake City, UT	12/22/2022	10	$11,448,993	$201	8.05%	1965
Fairmont Tower	Kansas City, MO	03/26/2022	6	$13,588,640	$238	5.97%	2010
Calloway Office Center	San Diego, CA	12/14/2025	8	$13,478,248	$236	7.35%	1988
Magnolia Plaza	Detroit, MI	02/21/2023	7	$11,307,948	$198	7.23%	2015
Vista Office Park	Louisville, KY	02/08/2024	10	$16,484,041	$289	7.60%	1968
Driftwood Plaza	Cincinnati, OH	09/19/2024	7	$17,677,832	$310	6.06%	2005
Birchwood Office Center	San Diego, CA	01/20/2023	8	$17,597,105	$309	5.56%	1990
Willow Tower	Savannah, GA	11/04/2022	6	$13,113,836	$230	5.55%	1981
Pelican Corporate Center	Louisville, KY	12/04/2024	8	$11,746,445	$206	7.46%	2008
Copper Corporate Center	Buffalo, NY	08/24/2026	12	$8,564,040	$150	5.89%	1993
Granite Corporate Center	Tampa, FL	10/05/2024	9	$13,797,981	$242	6.17%	1968
Heritage Office Park	Albany, NY	10/08/2022	5	$13,855,657	$243	6.42%	2020

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Improvements Description

Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 5-year membrane system with an estimated remaining useful life of 6 years. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Mechanical systems include rooftop package units and central plant equipment of varying age. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Operating Performance

Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.97% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses.

The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $432,000, representing a 13.6% increase over the prior year. The going-in capitalization rate of 7.01% reflects the in-place income and the stabilized occupancy assumption.

Improvements Description

Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 9 stories. The roof is a 33-year membrane system with an estimated remaining useful life of 8 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Floor plates are efficient and column-spacing supports open and private-office layouts.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Floor plates are efficient and column-spacing supports open and private-office layouts.

Valuation Discussion

The going-in capitalization rate of 5.27% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $186,000 or approximately 44.89 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period.

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 5.92x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $46,000, representing a 6.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 44 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Weighted average lease term remaining is 11 years and in-place rents average $31 per square foot, full service gross. The roof is a 31-year membrane system with an estimated remaining useful life of 9 years.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Floor plates are efficient and column-spacing supports open and private-office layouts. The roof is a 11-year membrane system with an estimated remaining useful life of 7 years. Weighted average lease term remaining is 10 years and in-place rents average $31 per square foot, full service gross.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Glenview Plaza	0.8 mi	2007	2BR	$34.99	91.4%	None
Hawthorne Office Park	2.3 mi	2013	Inline	$27.67	92.8%	$500
Highland Corporate Center	1.1 mi	1985	Unit	$32.83	87.6%	1 mo. free
Glenview Office Park	4.7 mi	2018	Studio	$30.77	89.7%	$500
Windmill Corporate Center	2.3 mi	2002	1BR	$34.89	87.4%	1 mo. free
Willow Corporate Center	1.0 mi	1979	1BR	$31.55	92.0%	1 mo. free
Beacon Tower	2.3 mi	2022	Unit	$32.54	86.3%	1 mo. free
Aspen Plaza	3.3 mi	2006	Studio	$36.21	89.6%	$500
Heritage Tower	3.7 mi	2015	Inline	$29.90	93.9%	1 mo. free
Kingsley Tower	2.4 mi	1995	Suite	$33.92	87.6%	$500
Nautilus Corporate Center	1.9 mi	1981	Studio	$33.76	94.4%	None
Union Office Center	3.8 mi	2009	2BR	$28.35	89.3%	None
Riverbend Tower	1.2 mi	1979	1BR	$33.35	93.2%	None
Hollis Office Center	2.7 mi	1980	1BR	$27.76	91.5%	None
Upland Office Center	1.4 mi	2021	1BR	$34.48	88.7%	1 mo. free
Fairmont Plaza	1.0 mi	1989	Studio	$30.61	95.9%	None
Hollis Tower	1.0 mi	2001	1BR	$35.85	96.0%	1 mo. free
Verde Office Park	1.7 mi	1986	Bay	$37.09	90.3%	1 mo. free
Pelican Office Center	1.5 mi	2013	Unit	$31.37	92.6%	None
Bayview Office Center	3.0 mi	1989	2BR	$34.26	92.9%	None
Dover Office Park	3.1 mi	1973	Inline	$36.86	87.0%	None
Kingsley Office Park	1.2 mi	1995	1BR	$35.64	89.3%	$500
Glenview Corporate Center	1.6 mi	2009	Suite	$30.20	86.8%	$500
Aspen Tower	1.0 mi	1975	Suite	$32.87	97.6%	None
Canyon Tower	3.4 mi	1970	Inline	$35.81	94.6%	None
Hollis Tower	1.1 mi	1997	Suite	$33.60	91.2%	$500
Everett Corporate Center	4.0 mi	2001	Bay	$28.23	91.9%	None
Canyon Tower	4.0 mi	2012	Bay	$27.22	93.6%	None
Gatewood Tower	1.3 mi	1982	Suite	$31.69	95.7%	$500
Heritage Office Park	3.2 mi	2017	2BR	$32.66	95.4%	None
Magnolia Plaza	1.4 mi	1981	Studio	$27.84	89.1%	None
Lantern Plaza	4.2 mi	1971	Suite	$31.07	97.5%	$500
Ivy Corporate Center	0.7 mi	2021	Studio	$28.90	91.6%	1 mo. free
Magnolia Plaza	0.7 mi	2007	2BR	$35.31	86.6%	None
Yarrow Office Park	2.8 mi	2014	2BR	$36.32	92.6%	None
Brookside Office Center	4.3 mi	1988	Inline	$31.02	87.0%	$500
Quarry Corporate Center	1.8 mi	1985	Bay	$33.37	94.9%	$500
Falcon Office Park	1.7 mi	2019	Unit	$30.18	97.2%	None
Jasper Corporate Center	4.7 mi	2016	Bay	$29.46	97.5%	1 mo. free
Pinecrest Corporate Center	3.4 mi	1974	Inline	$37.09	93.7%	1 mo. free
Oakmont Office Center	4.9 mi	2007	Unit	$36.75	87.8%	None
Osprey Office Center	2.2 mi	1977	1BR	$30.44	96.2%	$500

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Property Operations

Collections for the period were 96.2% of billed charges, with bad debt of 5.5% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Service requests are tracked through a work-order system with an average completion time of 21 hours.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day.

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Office product stands at 5.0%, down from 4.5% two years ago. Floor plates are efficient and column-spacing supports open and private-office layouts. Median household income within a 8-mile radius of the property is approximately $175,000 and has grown 4.1% annually. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 6.77% and 6.77%. Alder Office Park is located in Madison, WI, a market that has recorded 12.1% population growth over the last five years.

Median household income within a 8-mile radius of the property is approximately $333,000 and has grown 8.8% annually. Floor plates are efficient and column-spacing supports open and private-office layouts. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Office product stands at 13.0%, down from 5.9% two years ago. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 6.05% and 6.05%. Alder Office Park is located in Madison, WI, a market that has recorded 9.7% population growth over the last five years.

Leasing and Marketing

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center.

Service requests are tracked through a work-order system with an average completion time of 24 hours. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. Collections for the period were 93.9% of billed charges, with bad debt of 7.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Submarket Analysis

Alder Office Park is located in Madison, WI, a market that has recorded 8.7% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts.

Employment growth is led by healthcare, logistics, education and professional services sectors. The Madison Office market has experienced absorption of 4100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 7.88% and 7.88%. Weighted average lease term remaining is 3 years and in-place rents average $31 per square foot, full service gross. Median household income within a 9-mile radius of the property is approximately $18,000 and has grown 8.2% annually. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Leasing and Marketing

Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 44 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross.

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Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Projected levered IRR is 12.2% with an equity multiple of 1.47x over the hold period.

Market Overview

Rent growth in the submarket has averaged 4.1% annually over the past 3 years. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Alder Office Park is located in Madison, WI, a market that has recorded 6.4% population growth over the last five years.

The building features a renovated lobby, structured parking at a ratio of 46 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Rent growth in the submarket has averaged 8.0% annually over the past 12 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Floor plates are efficient and column-spacing supports open and private-office layouts.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross.

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center.

Demographics and Employment

Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 6.36% and 6.36%. Median household income within a 4-mile radius of the property is approximately $113,000 and has grown 7.5% annually. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Office product stands at 6.1%, down from 5.5% two years ago.

The Madison Office market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 7.11% and 7.11%. Floor plates are efficient and column-spacing supports open and private-office layouts. Median household income within a 5-mile radius of the property is approximately $305,000 and has grown 3.2% annually. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross. Market vacancy for comparable Office product stands at 9.0%, down from 7.9% two years ago.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Projected levered IRR is 6.4% with an equity multiple of 1.7x over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Weighted average lease term remaining is 10 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Kestrel Office Park	Hartford, CT	02/02/2026	7	$19,804,005	$347	7.43%	2009
Cedar Office Center	Columbus, OH	03/29/2024	7	$10,970,845	$192	7.61%	1992
Ironwood Plaza	Newark, NJ	09/18/2023	14	$16,294,878	$286	6.49%	2004
Copper Plaza	Seattle, WA	12/27/2025	8	$16,237,295	$285	6.04%	2016
Raven Office Park	Raleigh, NC	08/28/2024	8	$20,370,151	$357	6.48%	1994
Glenview Office Park	Sacramento, CA	01/08/2022	10	$9,647,960	$169	7.30%	2016
Copper Tower	Birmingham, AL	09/21/2025	14	$13,386,255	$235	6.85%	2020
Union Office Park	Albany, NY	07/14/2023	6	$8,579,246	$151	6.19%	1984
Westgate Tower	Madison, WI	09/30/2025	8	$8,733,532	$153	6.99%	1994
Harbor Plaza	Des Moines, IA	08/22/2022	12	$15,170,440	$266	7.73%	2000
Maple Corporate Center	Aurora, CO	07/06/2023	13	$18,246,323	$320	6.12%	2015
Pinecrest Plaza	Phoenix, AZ	04/05/2025	5	$20,421,402	$358	7.27%	1998
Driftwood Office Park	Kansas City, MO	09/26/2025	14	$20,135,006	$353	5.36%	1989
Kingsley Corporate Center	Pittsburgh, PA	12/17/2024	9	$7,921,457	$139	7.86%	2017
Heritage Plaza	Baltimore, MD	06/02/2024	8	$17,270,874	$303	5.46%	2022
Keystone Office Center	Milwaukee, WI	04/03/2024	14	$8,562,542	$150	6.38%	1981
Lockwood Tower	Grand Rapids, MI	12/20/2025	12	$10,257,322	$180	7.21%	1978
Whitaker Plaza	Norfolk, VA	07/12/2025	6	$17,823,415	$313	6.40%	1994
Indigo Corporate Center	Cincinnati, OH	10/10/2022	12	$6,460,284	$113	5.91%	1985
Bluestone Tower	Boise, ID	05/31/2022	15	$16,035,485	$281	6.77%	1972
Cobalt Tower	Boise, ID	07/12/2026	7	$6,912,083	$121	6.90%	1976
Orchard Tower	Columbus, OH	02/02/2023	10	$18,391,883	$323	5.70%	1991
Juniper Office Center	Oklahoma City, OK	07/29/2024	10	$14,281,781	$251	6.39%	2000
Crestline Office Center	Allentown, PA	08/17/2026	11	$19,183,734	$337	7.76%	2004
Birchwood Office Park	Kansas City, MO	10/27/2025	7	$6,246,117	$110	5.61%	2015
Sterling Tower	Buffalo, NY	10/15/2022	8	$19,414,154	$341	6.15%	1997
Osprey Tower	Pittsburgh, PA	07/02/2026	6	$12,291,162	$216	8.15%	1968
Crestline Plaza	Columbus, OH	03/25/2023	7	$14,141,891	$248	7.34%	1990
Meridian Corporate Center	Buffalo, NY	09/28/2025	6	$11,471,569	$201	5.29%	1968
Banyan Tower	Memphis, TN	09/17/2023	9	$15,057,333	$264	5.76%	1973
Kingsley Tower	Cleveland, OH	03/28/2023	8	$6,526,488	$114	7.49%	1997
Driftwood Office Center	Charlotte, NC	11/01/2025	15	$12,988,299	$228	7.41%	1969
Maple Office Park	Baltimore, MD	04/27/2022	6	$18,749,278	$329	5.32%	1986
Beacon Office Park	Boston, MA	04/23/2023	13	$20,640,654	$362	5.49%	2005
Valley Tower	Boise, ID	06/25/2025	9	$6,327,590	$111	8.03%	1988
Aspen Office Park	Austin, TX	05/23/2025	14	$11,310,405	$198	7.93%	1991
Onyx Corporate Center	Philadelphia, PA	05/26/2026	8	$8,073,137	$142	5.46%	1968
Hollis Office Park	San Antonio, TX	03/13/2025	8	$8,004,328	$140	6.88%	2005
Pelican Office Center	Chicago, IL	02/27/2023	8	$8,534,918	$150	7.92%	2010
Timberline Corporate Cente	Richmond, VA	01/11/2025	14	$13,940,407	$245	5.05%	1989
Driftwood Tower	Omaha, NE	02/12/2022	6	$9,518,847	$167	6.15%	1992
Calloway Corporate Center	Detroit, MI	09/21/2025	12	$8,094,035	$142	6.23%	1999
Harbor Office Park	Tampa, FL	06/22/2022	14	$17,732,365	$311	6.90%	1991

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Building Systems

The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. The roof is a 30-year membrane system with an estimated remaining useful life of 8 years. Common area interiors have been refreshed within the last 11 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Common area interiors have been refreshed within the last 8 years and are in average to good condition. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center. The roof is a 29-year membrane system with an estimated remaining useful life of 8 years. Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 35 stories.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $168,000, representing a 4.3% increase over the prior year. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross.

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. The going-in capitalization rate of 7.26% reflects the in-place income and the stabilized occupancy assumption.

Improvements Description

The roof is a 45-year membrane system with an estimated remaining useful life of 12 years. Alder Office Park was originally constructed in 1986 and consists of 57,000 SF in a building of 37 stories. Floor plates are efficient and column-spacing supports open and private-office layouts. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Financial Analysis

Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $161,000, representing a 13.9% increase over the prior year. Weighted average lease term remaining is 6 years and in-place rents average $31 per square foot, full service gross.

Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 6 years and in-place rents average $31 per square foot, full service gross. Effective gross income for the trailing period was $122,000, representing a 4.2% increase over the prior year. The going-in capitalization rate of 7.26% reflects the in-place income and the stabilized occupancy assumption.

Construction Details

Common area interiors have been refreshed within the last 4 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Onyx Office Park	3.2 mi	1999	Unit	$34.53	88.8%	$500
Willow Plaza	3.1 mi	2007	Unit	$28.74	97.5%	1 mo. free
Jasper Office Park	1.1 mi	1998	Bay	$32.06	95.1%	$500
Prairie Tower	5.0 mi	1973	Studio	$26.73	88.4%	1 mo. free
Wexford Office Park	3.1 mi	1999	Bay	$35.46	90.5%	None
Thornton Office Park	3.0 mi	1972	Inline	$35.48	95.9%	$500
Granite Plaza	1.5 mi	2003	Unit	$26.77	94.7%	$500
Garnet Office Park	2.4 mi	2023	Studio	$35.53	96.0%	1 mo. free
Marlow Plaza	3.6 mi	1992	Suite	$31.45	97.7%	1 mo. free
Verde Office Park	3.4 mi	2006	Studio	$31.88	92.6%	1 mo. free
Canyon Tower	3.6 mi	2011	Bay	$29.46	90.3%	None
Northgate Plaza	4.8 mi	2012	1BR	$33.11	94.2%	1 mo. free
Driftwood Tower	0.5 mi	1970	1BR	$35.97	88.8%	1 mo. free
Stonebridge Office Park	0.4 mi	1994	Studio	$30.90	89.2%	$500
Sterling Plaza	3.9 mi	1973	Bay	$35.01	86.1%	1 mo. free
Kestrel Plaza	2.9 mi	2023	Unit	$31.90	88.6%	$500
Cypress Office Center	2.4 mi	1990	Bay	$36.55	94.4%	1 mo. free
Highland Tower	4.5 mi	1986	Suite	$27.82	97.7%	1 mo. free
Osprey Plaza	2.7 mi	1989	Studio	$26.38	95.4%	1 mo. free
Prairie Tower	3.0 mi	2008	2BR	$27.65	87.7%	None
Oakmont Tower	2.4 mi	1981	Inline	$34.66	92.2%	1 mo. free
Canyon Office Park	1.0 mi	1997	Unit	$36.63	88.6%	1 mo. free
Union Office Park	1.1 mi	1974	Inline	$37.13	94.8%	1 mo. free
Tidewater Corporate Center	3.1 mi	2015	Inline	$34.05	92.9%	None
Cedar Plaza	3.4 mi	1978	1BR	$26.77	94.4%	None
Banyan Tower	0.2 mi	1994	2BR	$35.75	95.4%	None
Glenview Corporate Center	4.6 mi	1992	Studio	$36.97	86.4%	$500
Lantern Plaza	3.7 mi	1971	Studio	$30.90	93.2%	$500
Crestline Office Park	2.7 mi	1984	2BR	$29.96	95.1%	1 mo. free
Lakeshore Office Center	2.4 mi	2013	Suite	$30.99	92.3%	$500
Keystone Plaza	3.4 mi	1995	1BR	$27.66	91.1%	None
Eastlake Corporate Center	0.7 mi	2023	Unit	$35.61	88.9%	None
Hollis Office Center	1.5 mi	1998	Inline	$33.53	87.4%	None
Maple Plaza	0.3 mi	2002	Studio	$33.42	95.1%	1 mo. free
Orchard Office Center	4.7 mi	2019	Unit	$36.49	91.3%	None
Cedar Plaza	0.6 mi	1982	1BR	$27.33	92.3%	None
Upland Plaza	3.8 mi	1997	1BR	$32.05	90.4%	1 mo. free
Heritage Tower	3.2 mi	2022	Suite	$28.61	87.1%	1 mo. free
Fairmont Office Center	0.7 mi	1986	2BR	$32.95	91.4%	$500
Jasper Plaza	4.8 mi	1979	Studio	$32.34	94.9%	None

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